

# Treasury Monthly Budget Report – December 2023

## Summary

*In December, the total net operating balance for the Government, including donor funds, was a deficit of VT 517.8 million. The year-to-date total net operating balance for the Government, including donor funds, recorded at the end of December was in surplus of VT 6,838.7 million. This is equivalent to 5.6 per cent of GDP.*

*The net operating balance for Government excluding donor funds in December was a deficit of VT 1,154.9 million. To date this year the total net operating balance for the Government operations, excluding donor funds, was a surplus of VT 1,527.8 million which is equivalent to 1.3 per cent of GDP.*

### Government operations excluding donor funds (VT million)

|                                                                                                         | December forecast | December actual | Year to date    |
|---------------------------------------------------------------------------------------------------------|-------------------|-----------------|-----------------|
| Revenue                                                                                                 | 3,142.4           | 2,655.0         | 37,587.5        |
| Expenditure                                                                                             | 3,413.7           | 3,809.8         | 36,059.7        |
| <b>Net operating balance</b><br>(Revenue minus expense)                                                 | <b>-271.2</b>     | <b>-1,154.9</b> | <b>1,527.8</b>  |
| Net acquisition of<br>Nonfinancial Assets                                                               | 995.0             | 1,588.6         | 3,604.6         |
| <b>Net lending/borrowing</b><br>(Net operating balance minus net<br>acquisition of nonfinancial assets) | <b>-1,266.2</b>   | <b>-2,743.4</b> | <b>-2,076.9</b> |

## Government Revenue

*During December, Government revenue was VT 2,655.0 million which is 15.5 per cent lower than forecast of VT 3,142.4 million. This is mainly due to lower receipts from the Honorary Citizenship Program Fees in December.*

*Total Government receipts for the full year were VT 37,587.5 million, which is 2.5 per cent more than the revised budget target of VT 36,683.5 million<sup>1</sup> and is 27.1 per cent more than the VT 29,579.5 million that was collected during the same period in 2022 mainly due to the re-opening of borders. The 30.0 per cent VNPF entitlement benefit payments and civil servants salary advance during the period of the state of emergency for TC Judy, TC Kevin and TC Lola in 2023 were also factors that contributed to higher receipts.*

*VAT continues to be the main source of the Government's taxation revenue, recording VT 737.1 million in December, which is 6.4 per cent lower than forecast of VT 787.3 million. The amount collected so far this year is VT 11,684.6 million, this represents 12.2 per cent more than the annual revised budget target of VT 10,414.2 million and 22.7 per cent more than VT 9,522.6 million that was collected at the end of December last year.*

*Taxes on international trade and transactions, constituting import and export duties, are the second main source of Government tax revenue, collecting VT 454.7 million in December, which is 12.2 per cent higher than the forecast of VT 405.2 million. The amount collected so far this year is VT 4,791.0 million, this is 14.6 per cent more than the budget*

<sup>1</sup>The 2023 original revenue budget of VT 35,569.1 million was reduced by VT 13.5 million due to VAT paid by Departments that was netted off from the VAT estimates reflecting the additional budget from the rollover of unspent funds from 2022 to 2023. In addition, the revenue estimates were increased by VT 1,127.9 million, reflecting the Budget Support of VT 1,127.9 million that was received from Catastrophe Deferred Drawdown Option (CAT-DDO) which the country has subscribed to with the World Bank. This support was paid out for TC Kevin and Judy responses and relief efforts.

target of VT 4,180.2 million due to higher collection from Not Elsewhere Specified Import Duties. It is 18.2 per cent more than the VT 4,053.8 million that was collected during the equivalent period last year.

Excise tax collection was VT 496.0 million in December, which is 75.2 per cent more than the forecast of VT 283.2 million. At the end of December, Excise tax collection is VT 4,136.3 million; this is 47.1 per cent more than its budget target of VT 2,811.2 million and is 48.9 per cent more than the VT 2,778.7 million that was collected in 2022.

Vanuatu also received budget support of VT 2,550.8 million by the end of December, representing 91.5 per cent of the budget support target of VT 2,787.4 million. This includes VT 1,085.2 million from the Australian Government, VT 1,127.9 million from the World Bank's Catastrophe Deferred Drawdown Option (Cat DDO) for TC Judy and TC Kevin response and relief efforts and VT 182.4 million from the 11th European Development Funds (EDF).

Among other revenue, constituting fees and charges, the Vanuatu Development Support Program (VDSP) and Vanuatu Contribution Program (VCP) together collected VT 324.9 million in December, which is 70.2 per cent lower than the forecast of VT 1,090.2 million. To date total collections are VT 8,115.0 million at the end of December; this represents 89.0 per cent of the budget target of VT 9,112.9 million and is 5.9 per cent more than the VT 7,663.2 million that was collected in 2022.

### **Government Expenses**

Government expenses were VT 3,809.8 million in December, which is 11.6 per cent higher than the forecast of VT 3,413.7 million. The major overspending compared to forecast this month was mainly from Permanent Wages. Government expenses recorded VT 36,059.7 million at the end of December; this represents 97.0 per cent of the 2023 revised budget target of VT 37,185.3<sup>2</sup> million and is 11.8 per cent more than the VT 32,258.4 million that was spent in 2022.

To date, Government expenses are controlled and are in line with the budget target. However, there are some major overspending items which include:

- Acting Allowances (VT 196.5 million against annual budget of VT 0.1 million )
- Special Allowance (VT 363.2 million against annual budget of VT 134.5 million)
- Court Costs (VT 139.4 million against annual budget of VT 37.8 million)
- Electricity Utilities (VT 515.1 million against annual budget of VT 384.2 million)

### **Government Acquisition of Non-Financial Assets**

Net acquisition of non-financial assets recorded VT 3,604.6 million at the end of December, representing 78.3 per cent of the revised budget target of VT 4,602.8 million<sup>3</sup>. However, the value of acquisitions is 124.7 per cent more than the VT 1,603.9 million that was spent on net acquisitions of non-financial assets in 2022.

Key acquisitions of non-financial assets included roads and bridges, at VT 847.3 million; new buildings, at VT 683.4 million; and renovation of buildings, at VT 561.3 million.

<sup>2</sup>The original Annual Expense Budget of VT 34,113.3 million has increased by VT 768.2 million for the normal government supplementary, VT 1,127.9 million for the financial emergency supplementary and VT 1,189.4 million from the 2022 roll over of unspent funds. The remaining balance of VT 1,863.5 million for the rollover of the unspent funds and VT 598.4 million for the normal supplementary has been included in the net acquisitions of financial assets.

<sup>3</sup> The 2023 acquisition of non-financial assets original budget of VT 2,140.8 million was increased by VT 1,863.5 million for the rollover of the unspent funds and VT 598.4 million for the normal supplementary.

## **Government Transactions in Financial Assets and Liabilities**

*At the end of December, the Government paid off an amount of VT 2,434.9 million on external debt and VT 1,115.1 million worth of domestic bonds. In contrast, the government also issued a total of VT 3,301.7 million worth of domestic bonds.*

## **Development Budget Highlights**

*At the end of December, VT 7,931.6 million worth of grants were received from donors. This amount represents 58.7 per cent of the revised budget target of VT 13,503.4 million<sup>4</sup>. The major contributing partners in 2023 includes the Australian Government (VT 2,413.6 million), the Asian Development Bank (VT 1,452.0 million), the New Zealand Government (VT 1,328.1 million) and the Government of China (VT 957.3 million). The Vanuatu Government continues to gratefully acknowledge the support of its development partners.*

*At the end of December, donor funding expenses totalled VT 2,620.7 million, which is equivalent to 19.4 per cent of the budget target of VT 13,503.4 million. It is also 53.8 per cent lower than VT 5,668.8 million that was recorded in 2022.*

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<sup>4</sup> The Annual donor revenue budget increased by VT 870.9 million to reflect the financial emergency supplementary budget received from grants.

## Key Terminology

- **Net operating balance** is equal to revenue minus expenses and indicates whether the government is able to sustain its current level of operations. The Government must aim for a surplus.
- **Net lending/borrowing** is equal to the net operating balance minus net acquisition of nonfinancial assets and is often referred to as the fiscal surplus/deficit. It indicates whether the Government is taking out resources from or giving resources to the economy.
- **Expense** is a decrease in net worth resulting from a transaction.
- **Revenue** is an increase in net worth resulting from a transaction.
- **VAT (Value Added Taxes)** is the tax on goods or services collected in stages by enterprises but ultimately charged in full to the final purchasers.
- **Interest payments** and **Grants** are paid on fixed dates as they are payments to external Government entities.
- **Taxes on international trade and transactions** are almost all import duties based on Cost, Insurance, and Freight (CIF) values.
- **Excise** is charged on goods sold in the country regardless of whether they were produced domestically or overseas.
- In terms of **revenue**, **grants** refer to funds for donor assisted projects provided by donors and also general budget support from donors.
- The **Government operations funded by donors'** numbers represent only revenue and expenses to and from the Government's central development fund account. Some donors continue to operate outside the Government system so these numbers understate the total value of donor support to Vanuatu.
- **Net acquisition of domestic financial assets** is positive when the Government accumulates cash reserves and negative when it draws down on its overdraft.
- **Net incurrence of domestic financial liabilities** is positive when Government bonds are raised through auction and negative when they are retired (paid out).
- **Net incurrence of external liabilities** is positive when the Government draws down external loans and negative when principal on these loans is repaid.
- Figures for **compensation of employees** follow the pay days. The Government of Vanuatu runs a fortnightly pay system.

## Annex 1: Government Revenue Trend

Government revenue (excluding Donor Funds) collected in December 2023 was lower than the budget target figure predicted through cash flow analysis of the previous fiscal years as shown in figure 1. This is mainly due to lower receipts from the Honorary Citizenship Program Fees in December.

Figure 2 shows Cumulative revenue trend against budget target.

Figure 1

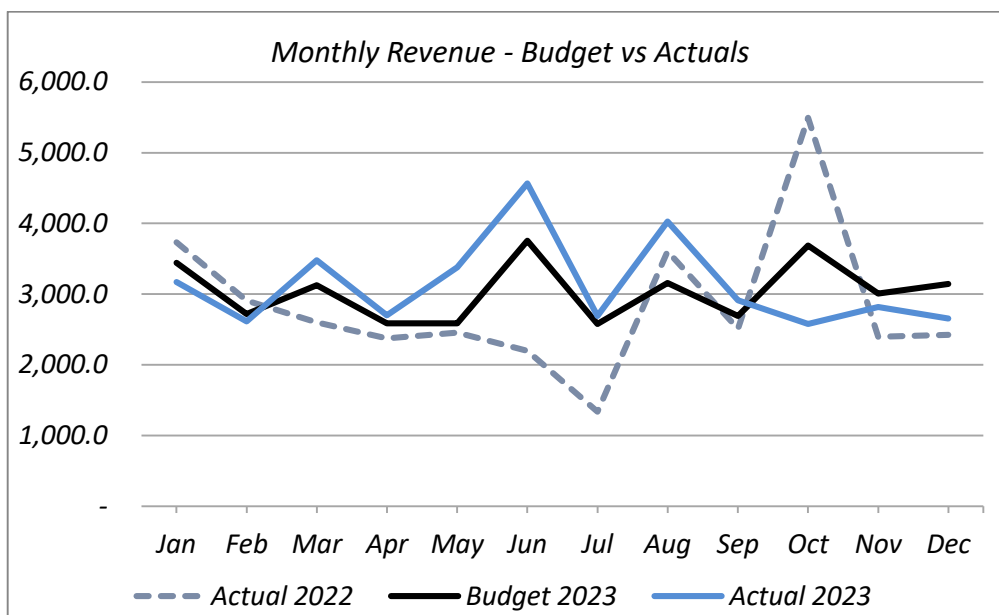
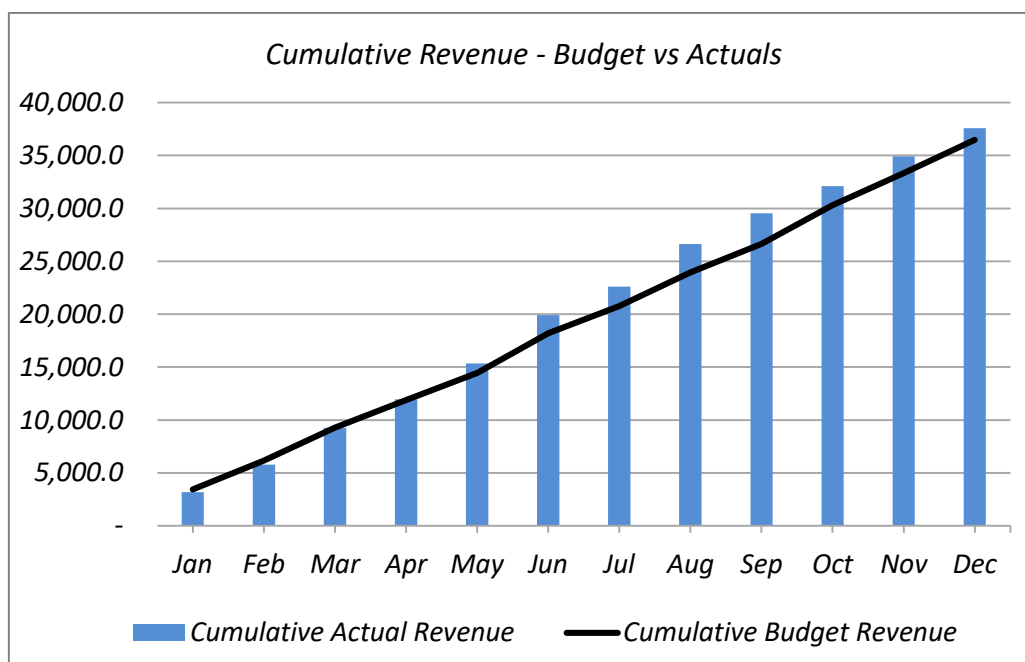


Figure 2



## Annex 2: Government Expenditure Trend

Government expenditure (excluding donor funds) in December 2023 was higher than predicted through cash flow analysis of previous fiscal years, as shown by Figure 3. The major overspending compared to forecast this month was mainly from Permanent Wages.

Figure 4 shows cumulative expenditure trend against budget target.

Figure 3

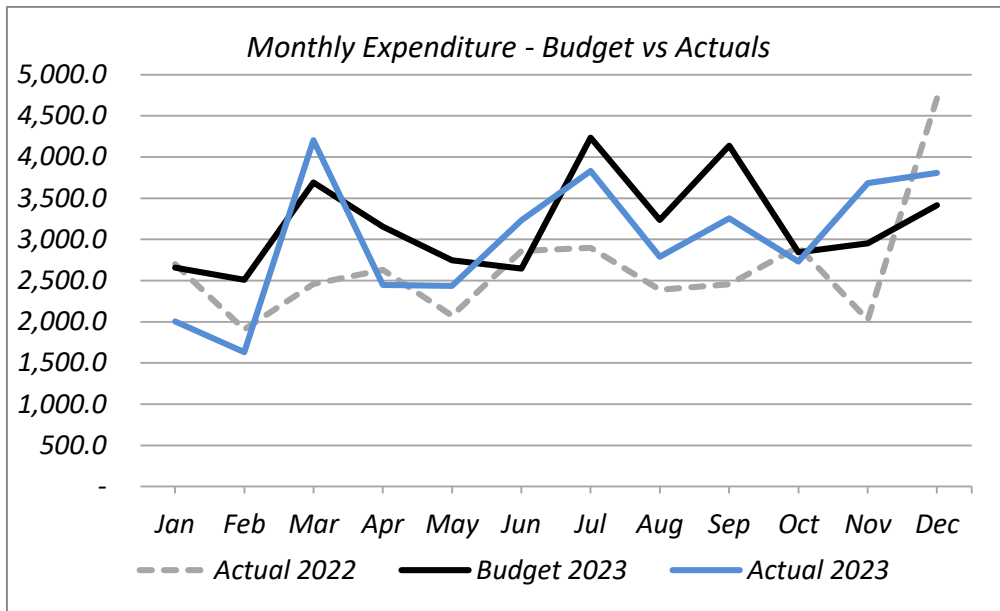
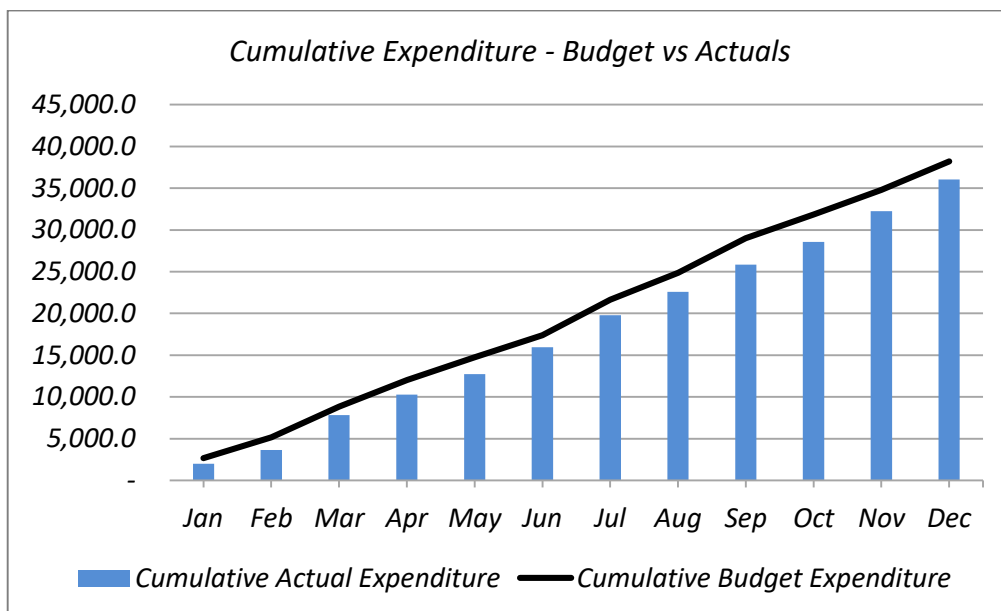


Figure 4



### Annex 3: Statement Of Total Government Operations

| STATEMENT OF TOTAL GOVERNMENT OPERATIONS                      |                                             |             |               |         |                   |                    |                 |                 |               |                |                |                  |                     |                   |                    |                    |
|---------------------------------------------------------------|---------------------------------------------|-------------|---------------|---------|-------------------|--------------------|-----------------|-----------------|---------------|----------------|----------------|------------------|---------------------|-------------------|--------------------|--------------------|
| GFS Code                                                      | GFS Description                             | Budget 2023 | Total (VT mn) | %       | January<br>Actual | February<br>Actual | March<br>Actual | April<br>Actual | May<br>Actual | June<br>Actual | July<br>Actual | August<br>Actual | September<br>Actual | October<br>Actual | November<br>Actual | December<br>Actual |
| TRANSACTIONS AFFECTING NET WORTH:                             |                                             |             |               |         |                   |                    |                 |                 |               |                |                |                  |                     |                   |                    |                    |
| A1                                                            | Revenue                                     | 50,186.9    | 45,519.1      | 90.7%   | 3,379.2           | 3,026.5            | 4,882.9         | 3,193.1         | 4,035.9       | 7,082.4        | 2,940.0        | 3,974.3          | 3,382.7             | 3,282.2           | 2,869.9            | 3,470.0            |
| A11                                                           | Taxes                                       | 20,727.9    | 23,955.7      | 115.6%  | 1,899.6           | 1,888.3            | 1,656.9         | 1,646.3         | 2,103.7       | 2,462.3        | 1,789.8        | 2,533.3          | 2,152.0             | 1,731.3           | 2,100.7            | 1,991.7            |
| A111                                                          | Taxes on income, profits, and capital gains | -           | -             | 0.0%    | -                 | -                  | -               | -               | -             | -              | -              | -                | -                   | -                 | -                  | -                  |
| A112                                                          | Taxes on payroll & workforce                | -           | -             | 0.0%    | -                 | -                  | -               | -               | -             | -              | -              | -                | -                   | -                 | -                  | -                  |
| A113                                                          | Taxes on property                           | 583.3       | 487.6         | 83.6%   | 26.3              | 28.0               | 0.1             | 25.7            | 42.2          | 58.9           | 53.0           | 31.3             | 53.3                | 51.8              | 35.3               | 81.9               |
| A114                                                          | Taxes on goods & services                   | 15,964.4    | 18,677.1      | 117.0%  | 1,558.6           | 1,471.2            | 1,306.4         | 1,301.6         | 1,676.3       | 1,894.3        | 1,352.9        | 1,990.5          | 1,589.5             | 1,374.9           | 1,705.7            | 1,455.2            |
| A11411                                                        | Value-added taxes                           | 10,028.5    | 10,403.7      | 103.7%  | 815.9             | 840.1              | 577.5           | 772.2           | 1,052.2       | 1,203.9        | 832.3          | 1,172.7          | 931.6               | 810.3             | 862.8              | 532.4              |
| A1142                                                         | Excises                                     | 2,811.2     | 4,136.3       | 147.1%  | 249.0             | 314.8              | 425.4           | 242.9           | 348.3         | 312.0          | 261.3          | 449.6            | 357.4               | 327.1             | 352.4              | 496.0              |
| A115                                                          | Taxes on international trade & transactions | 4,180.2     | 4,791.0       | 114.6%  | 314.6             | 389.1              | 350.5           | 319.0           | 385.1         | 509.1          | 383.9          | 511.5            | 509.2               | 304.6             | 359.7              | 454.7              |
| A116                                                          | Other taxes                                 | -           | -             | 0.0%    | -                 | -                  | -               | -               | -             | -              | -              | -                | -                   | -                 | -                  | -                  |
| A12                                                           | Social contributions                        | -           | -             | 0.0%    | -                 | -                  | -               | -               | -             | -              | -              | -                | -                   | -                 | -                  | -                  |
| A13                                                           | Grants                                      | 16,290.9    | 10,482.4      | 64.3%   | 209.1             | 414.8              | 2,532.9         | 609.7           | 657.9         | 3,539.5        | 247.1          | 129.9            | 468.5               | 705.6             | 53.9               | 913.4              |
| A14                                                           | Other revenue                               | 13,168.1    | 11,081.0      | 84.2%   | 1,270.5           | 723.4              | 693.2           | 937.1           | 1,274.3       | 1,080.6        | 903.1          | 1,311.2          | 762.2               | 845.3             | 715.3              | 564.8              |
| A2                                                            | Expense                                     | 50,688.7    | 38,680.4      | 76.3%   | 1,758.9           | 1,792.7            | 4,594.4         | 2,605.6         | 2,801.7       | 3,463.7        | 4,000.7        | 3,165.5          | 3,446.6             | 3,604.8           | 3,458.1            | 3,987.8            |
| A21                                                           | Compensation of employees                   | 19,605.2    | 17,542.4      | 89.5%   | 998.8             | 1,173.8            | 1,960.3         | 1,325.7         | 1,265.0       | 1,326.0        | 1,400.1        | 1,304.6          | 2,033.6             | 1,238.7           | 1,398.1            | 2,117.7            |
| A22                                                           | Use of goods and services                   | 20,476.6    | 11,584.9      | 56.6%   | 580.6             | (94.8)             | 1,394.1         | 621.3           | 1,071.5       | 1,025.5        | 1,018.8        | 1,139.8          | 818.5               | 1,496.8           | 1,207.5            | 1,305.4            |
| A23                                                           | Consumption of fixed capital                | -           | -             | 0.0%    | -                 | -                  | -               | -               | -             | -              | -              | -                | -                   | -                 | -                  | -                  |
| A24                                                           | Interest                                    | 1,335.8     | 1,116.5       | 83.6%   | 27.4              | -                  | 141.6           | 165.8           | 13.1          | 37.4           | 81.3           | 105.0            | 353.4               | 92.6              | 72.0               | 26.8               |
| A25                                                           | Subsidies                                   | 386.5       | 113.5         | 29.4%   | (2.2)             | 2.0                | 7.5             | 26.4            | 0.3           | 15.2           | -              | 12.6             | 7.1                 | 23.3              | 5.5                | 15.8               |
| A26                                                           | Grants                                      | 5,540.7     | 5,288.2       | 95.4%   | 142.0             | 574.7              | 901.4           | 258.9           | 117.0         | 654.5          | 1,258.6        | 266.6            | 69.5                | 390.4             | 245.2              | 409.4              |
| A27                                                           | Social benefits                             | 1,666.8     | 1,167.0       | 70.0%   | 50.5              | 48.1               | 34.4            | 64.9            | 110.1         | 127.7          | 76.0           | 116.5            | 47.7                | 112.3             | 266.8              | 112.0              |
| A28                                                           | Other expense                               | 1,677.1     | 1,868.0       | 111.4%  | (38.1)            | 89.0               | 155.1           | 142.6           | 224.7         | 277.3          | 165.9          | 220.3            | 116.8               | 250.6             | 263.0              | 0.7                |
| GOB                                                           | Gross operating balance (1-2+23+NOBz)       | (501.8)     | 6,838.7       |         | 1,620.3           | 1,233.8            | 288.6           | 587.5           | 1,234.2       | 3,618.7        | (1,060.7)      | 808.8            | (63.9)              | (322.6)           | (588.2)            | (517.8)            |
| NOB                                                           | Net operating balance (1-2+NOBz)            | (501.8)     | 6,838.7       |         | 1,620.3           | 1,233.8            | 288.6           | 587.5           | 1,234.2       | 3,618.7        | (1,060.7)      | 808.8            | (63.9)              | (322.6)           | (588.2)            | (517.8)            |
|                                                               | % of GDP                                    | -0.4%       | 5.6%          |         | 1.3%              | 1.0%               | 0.2%            | 0.5%            | 1.0%          | 3.0%           | -0.9%          | 0.7%             | -0.1%               | -0.3%             | -0.5%              | -0.4%              |
| TRANSACTIONS IN NONFINANCIAL ASSETS:                          |                                             |             |               |         |                   |                    |                 |                 |               |                |                |                  |                     |                   |                    |                    |
| A31                                                           | Net Acquisition of Nonfinancial Assets      | 9,939.2     | 7,568.4       | 76.1%   | 1,514.6           | (711.6)            | 1,560.5         | 368.1           | 429.5         | 659.3          | 517.5          | (178.4)          | 501.1               | 388.0             | 345.6              | 2,174.5            |
| A311                                                          | Fixed assets                                | 9,939.2     | 7,568.4       | 76.1%   | 1,514.6           | -711.6             | 1,560.5         | 368.1           | 429.5         | 659.3          | 517.5          | -178.4           | 501.1               | 388.0             | 345.6              | 2,174.5            |
| A312                                                          | Change in inventories                       | -           | -             | 0.0%    | -                 | -                  | -               | -               | -             | -              | -              | -                | -                   | -                 | -                  | -                  |
| A313                                                          | Valuables                                   | -           | -             | 0.0%    | -                 | -                  | -               | -               | -             | -              | -              | -                | -                   | -                 | -                  | -                  |
| A314                                                          | Nonproduced assets                          | -           | -             | 0.0%    | -                 | -                  | -               | -               | -             | -              | -              | -                | -                   | -                 | -                  | -                  |
| NLB                                                           | Net lending / borrowing (1-2+NOBz-31)       | (10,441.0)  | (729.8)       |         | 105.6             | 1,945.5            | (1,271.9)       | 219.4           | 804.7         | 2,959.4        | (1,578.2)      | 987.3            | (565.0)             | (710.6)           | (933.8)            | (2,692.3)          |
| TRANSACTIONS IN FINANCIAL ASSETS AND LIABILITIES (FINANCING): |                                             |             |               |         |                   |                    |                 |                 |               |                |                |                  |                     |                   |                    |                    |
|                                                               |                                             | -8.6%       | -0.6%         |         | 0.1%              | 1.6%               | -1.0%           | 0.2%            | 0.7%          | 2.4%           | -1.3%          | 0.8%             | -0.5%               | -0.6%             | -0.8%              | -2.2%              |
| A32                                                           | Net acquisition of financial assets         | (5,604.4)   | (978.1)       | 0.0%    | 90.0              | 1,945.5            | (1,902.2)       | 205.5           | 1,746.7       | 2,862.7        | (1,578.2)      | 187.3            | (1,485.0)           | (232.8)           | (26.8)             | (2,790.8)          |
| A321                                                          | Domestic                                    | (5,604.4)   | (978.1)       | 0.0%    | 90.0              | 1,945.5            | (1,902.2)       | 205.5           | 1,746.7       | 2,862.7        | (1,578.2)      | 187.3            | (1,485.0)           | (232.8)           | (26.8)             | (2,790.8)          |
| A322                                                          | Foreign                                     | -           | -             | 0.0%    | -                 | -                  | -               | -               | -             | -              | -              | -                | -                   | -                 | -                  | -                  |
| A33                                                           | Net incurrence of liabilities               | 4,836.6     | (248.3)       | -5.1%   | (15.7)            | -                  | (630.3)         | (13.9)          | 942.0         | (96.7)         | -              | (800.0)          | (920.0)             | 477.8             | 906.9              | (98.5)             |
| A331                                                          | Domestic creditors                          | 3,551.9     | 2,186.6       |         | (8.1)             | -                  | -               | -               | 1,012.5       | -              | -              | (800.0)          | 511.4               | 488.6             | 982.2              | -                  |
| A332                                                          | External creditors                          | 1,284.7     | (2,434.9)     | -189.5% | (7.5)             | -                  | (630.3)         | (13.9)          | (70.5)        | (96.7)         | -              | -                | (1,431.4)           | (10.8)            | (75.3)             | (98.5)             |

## Annex 4: Statement Of Government Operations Which Are Funded By Donors Through The Central Treasury Account

| STATEMENT OF GOVERNMENT OPERATIONS FUNDED BY DONORS THROUGH THE CENTRAL TREASURY ACCOUNT |                                               |                  |                |              |                |                 |                |              |              |                |                |                |                  |                |                 |                 |
|------------------------------------------------------------------------------------------|-----------------------------------------------|------------------|----------------|--------------|----------------|-----------------|----------------|--------------|--------------|----------------|----------------|----------------|------------------|----------------|-----------------|-----------------|
| GFS Code                                                                                 | GFS Description                               | Budget 2023      | Total (VT mn)  | %            | January Actual | February Actual | March Actual   | April Actual | May Actual   | June Actual    | July Actual    | August Actual  | September Actual | October Actual | November Actual | December Actual |
| <b>TRANSACTIONS AFFECTING NET WORTH:</b>                                                 |                                               |                  |                |              |                |                 |                |              |              |                |                |                |                  |                |                 |                 |
| <b>A1</b>                                                                                | <b>Revenue</b>                                | <b>13,503.4</b>  | <b>7,931.6</b> | <b>58.7%</b> | <b>209.1</b>   | <b>414.8</b>    | <b>1,404.9</b> | <b>492.4</b> | <b>657.9</b> | <b>2,516.6</b> | <b>247.1</b>   | <b>(52.6)</b>  | <b>468.5</b>     | <b>705.6</b>   | <b>52.1</b>     | <b>815.0</b>    |
| A11                                                                                      | Taxes                                         | -                | -              | 0.0%         | -              | -               | -              | -            | -            | -              | -              | -              | -                | -              | -               | -               |
| A111                                                                                     | Taxes on income, profits, and capital gains   | -                | -              | 0.0%         | -              | -               | -              | -            | -            | -              | -              | -              | -                | -              | -               | -               |
| A112                                                                                     | Taxes on payroll & workforce                  | -                | -              | 0.0%         | -              | -               | -              | -            | -            | -              | -              | -              | -                | -              | -               | -               |
| A113                                                                                     | Taxes on property                             | -                | -              | 0.0%         | -              | -               | -              | -            | -            | -              | -              | -              | -                | -              | -               | -               |
| A114                                                                                     | Taxes on goods & services                     | -                | -              | 0.0%         | -              | -               | -              | -            | -            | -              | -              | -              | -                | -              | -               | -               |
| A11411                                                                                   | Value-added taxes                             | -                | -              | 0.0%         | -              | -               | -              | -            | -            | -              | -              | -              | -                | -              | -               | -               |
| A1142                                                                                    | Excises                                       | -                | -              | 0.0%         | -              | -               | -              | -            | -            | -              | -              | -              | -                | -              | -               | -               |
| A115                                                                                     | Taxes on international trade & transactions   | -                | -              | 0.0%         | -              | -               | -              | -            | -            | -              | -              | -              | -                | -              | -               | -               |
| A116                                                                                     | Other taxes                                   | -                | -              | 0.0%         | -              | -               | -              | -            | -            | -              | -              | -              | -                | -              | -               | -               |
| A12                                                                                      | Social contributions                          | -                | -              | 0.0%         | -              | -               | -              | -            | -            | -              | -              | -              | -                | -              | -               | -               |
| A13                                                                                      | Grants                                        | 13,503.4         | 7,931.6        | 58.7%        | 209.1          | 414.8           | 1,404.9        | 492.4        | 657.9        | 2,516.6        | 247.1          | (52.6)         | 468.5            | 705.6          | 52.1            | 815.0           |
| A14                                                                                      | Other revenue                                 | -                | -              | 0.0%         | -              | -               | -              | -            | -            | -              | -              | -              | -                | -              | -               | -               |
| <b>A2</b>                                                                                | <b>Expense</b>                                | <b>13,503.4</b>  | <b>2,620.7</b> | <b>19.4%</b> | <b>(244.4)</b> | <b>160.1</b>    | <b>389.0</b>   | <b>155.9</b> | <b>364.6</b> | <b>232.5</b>   | <b>168.3</b>   | <b>375.5</b>   | <b>191.3</b>     | <b>874.3</b>   | <b>(224.4)</b>  | <b>178.0</b>    |
| A21                                                                                      | Compensation of employees                     | 886.5            | 277.2          | 31.3%        | 8.5            | 16.1            | 23.4           | 18.0         | 14.7         | 37.9           | 18.3           | 24.5           | 20.4             | 21.1           | 19.5            | 54.8            |
| A22                                                                                      | Use of goods and services                     | 10,049.3         | 2,111.9        | 21.0%        | (209.8)        | 140.9           | 312.4          | 142.4        | 309.4        | 190.0          | 123.0          | 324.7          | 163.1            | 842.7          | (255.4)         | 28.5            |
| A23                                                                                      | Consumption of fixed capital                  | -                | -              | 0.0%         | -              | -               | -              | -            | -            | -              | -              | -              | -                | -              | -               | -               |
| A24                                                                                      | Interest                                      | 12.1             | 2.2            | 18.3%        | -              | -               | -              | -            | -            | -              | -              | -              | -                | -              | -               | 2.2             |
| A25                                                                                      | Subsidies                                     | 23.8             | 4.8            | 0.0%         | 1.9            | 2.0             | 0.4            | -            | 0.3          | -              | -              | 0.2            | -                | -              | -               | -               |
| A26                                                                                      | Grants                                        | 1,488.3          | 191.4          | 12.9%        | (48.4)         | -               | 52.7           | (6.2)        | 26.7         | -              | 27.0           | 22.5           | 7.9              | 8.8            | 9.8             | 90.6            |
| A27                                                                                      | Social benefits                               | 1,027.3          | 22.1           | 2.1%         | -              | 0.2             | -              | 1.6          | 11.9         | 2.4            | -              | 2.5            | -                | 1.2            | 0.3             | 2.1             |
| A28                                                                                      | Other expense                                 | 16.1             | 11.2           | 69.5%        | 3.4            | 0.9             | 0.1            | 0.1          | 1.5          | 2.3            | (0.0)          | 1.0            | 0.0              | 0.6            | 1.5             | (0.2)           |
| <b>GOB</b>                                                                               | <b>Gross operating balance (1-2+23+NOBz)</b>  | <b>-</b>         | <b>5,310.9</b> |              | <b>453.5</b>   | <b>254.7</b>    | <b>1,016.0</b> | <b>336.5</b> | <b>293.3</b> | <b>2,284.1</b> | <b>78.7</b>    | <b>(428.0)</b> | <b>277.2</b>     | <b>(168.7)</b> | <b>276.5</b>    | <b>637.0</b>    |
| <b>NOB</b>                                                                               | <b>Net operating balance (1-2+NOBz)</b>       | <b>-</b>         | <b>5,310.9</b> |              | <b>453.5</b>   | <b>254.7</b>    | <b>1,016.0</b> | <b>336.5</b> | <b>293.3</b> | <b>2,284.1</b> | <b>78.7</b>    | <b>(428.0)</b> | <b>277.2</b>     | <b>(168.7)</b> | <b>276.5</b>    | <b>637.0</b>    |
|                                                                                          | % of GDP                                      | 0.0%             | 4.4%           |              | 0.4%           | 0.2%            | 0.8%           | 0.3%         | 0.2%         | 1.9%           | 0.1%           | -0.4%          | 0.2%             | -0.1%          | 0.2%            | 0.5%            |
| <b>TRANSACTIONS IN NONFINANCIAL ASSETS:</b>                                              |                                               |                  |                |              |                |                 |                |              |              |                |                |                |                  |                |                 |                 |
| <b>A31</b>                                                                               | <b>Net Acquisition of Nonfinancial Assets</b> | <b>5,336.5</b>   | <b>3,963.8</b> | <b>74.3%</b> | <b>349.8</b>   | <b>315.3</b>    | <b>926.7</b>   | <b>209.5</b> | <b>281.5</b> | <b>314.5</b>   | <b>467.7</b>   | <b>(226.2)</b> | <b>289.1</b>     | <b>279.8</b>   | <b>170.2</b>    | <b>585.9</b>    |
| A311                                                                                     | Fixed assets                                  | 5,336.5          | 3,963.8        | 74.3%        | 349.8          | 315.3           | 926.7          | 209.5        | 281.5        | 314.5          | 467.7          | (226.2)        | 289.1            | 279.8          | 170.2           | 585.9           |
| A312                                                                                     | Change in inventories                         | -                | -              | 0.0%         | -              | -               | -              | -            | -            | -              | -              | -              | -                | -              | -               | -               |
| A313                                                                                     | Valuables                                     | -                | -              | 0.0%         | -              | -               | -              | -            | -            | -              | -              | -              | -                | -              | -               | -               |
| A314                                                                                     | Nonproduced assets                            | -                | -              | 0.0%         | -              | -               | -              | -            | -            | -              | -              | -              | -                | -              | -               | -               |
| <b>NLB</b>                                                                               | <b>Net lending / borrowing (1-2+NOBz-31)</b>  | <b>(5,336.5)</b> | <b>1,347.1</b> |              | <b>103.7</b>   | <b>(60.6)</b>   | <b>89.3</b>    | <b>127.0</b> | <b>11.8</b>  | <b>1,969.6</b> | <b>(388.9)</b> | <b>(201.8)</b> | <b>(11.9)</b>    | <b>(448.5)</b> | <b>106.3</b>    | <b>51.1</b>     |
| <b>TRANSACTIONS IN FINANCIAL ASSETS AND LIABILITIES (FINANCING):</b>                     |                                               |                  |                |              |                |                 |                |              |              |                |                |                |                  |                |                 |                 |
|                                                                                          |                                               | -4.4%            | 1.1%           |              | 0.1%           | 0.0%            | 0.1%           | 0.1%         | 0.0%         | 1.6%           | -0.3%          | -0.2%          | 0.0%             | -0.4%          | 0.1%            | 0.0%            |
| <b>A32</b>                                                                               | <b>Net acquisition of financial assets</b>    | <b>-</b>         | <b>1,347.1</b> | <b>0.0%</b>  | <b>103.7</b>   | <b>(60.6)</b>   | <b>89.3</b>    | <b>127.0</b> | <b>11.8</b>  | <b>1,969.6</b> | <b>(388.9)</b> | <b>(201.8)</b> | <b>(11.9)</b>    | <b>(448.5)</b> | <b>106.3</b>    | <b>51.1</b>     |
| A321                                                                                     | Domestic                                      | -                | 1,347.1        | 0.0%         | 103.7          | (60.6)          | 89.3           | 127.0        | 11.8         | 1,969.6        | (388.9)        | (201.8)        | (11.9)           | (448.5)        | 106.3           | 51.1            |
| A322                                                                                     | Foreign                                       | -                | -              | 0.0%         | -              | -               | -              | -            | -            | -              | -              | -              | -                | -              | -               | -               |
| <b>A33</b>                                                                               | <b>Net incurrence of liabilities</b>          | <b>5,336.5</b>   | <b>-</b>       | <b>0.0%</b>  | <b>-</b>       | <b>-</b>        | <b>-</b>       | <b>-</b>     | <b>-</b>     | <b>-</b>       | <b>-</b>       | <b>-</b>       | <b>-</b>         | <b>-</b>       | <b>-</b>        | <b>-</b>        |
| A331                                                                                     | Domestic creditors                            | -                | -              | 0.0%         | -              | -               | -              | -            | -            | -              | -              | -              | -                | -              | -               | -               |
| A332                                                                                     | External creditors                            | 5,336.5          | -              | 0.0%         | -              | -               | -              | -            | -            | -              | -              | -              | -                | -              | -               | -               |

## Annex 5: Statement Of Government Operations Excluding Donors

| STATEMENT OF GOVERNMENT OPERATIONS EXCLUDING DONORS                  |                                               |                  |                  |               |                |                  |                  |                |                |                |                  |                |                  |                |                  |                  |
|----------------------------------------------------------------------|-----------------------------------------------|------------------|------------------|---------------|----------------|------------------|------------------|----------------|----------------|----------------|------------------|----------------|------------------|----------------|------------------|------------------|
| GFS Code                                                             | GFS Description                               | Budget 2023      | Total (VT mn)    | %             | January Actual | February Actual  | March Actual     | April Actual   | May Actual     | June Actual    | July Actual      | August Actual  | September Actual | October Actual | November Actual  | December Actual  |
| <b>TRANSACTIONS AFFECTING NET WORTH:</b>                             |                                               |                  |                  |               |                |                  |                  |                |                |                |                  |                |                  |                |                  |                  |
| <b>A1</b>                                                            | <b>Revenue</b>                                | <b>36,683.5</b>  | <b>37,587.5</b>  | <b>102.5%</b> | <b>3,170.1</b> | <b>2,611.7</b>   | <b>3,478.0</b>   | <b>2,700.7</b> | <b>3,378.0</b> | <b>4,565.7</b> | <b>2,692.9</b>   | <b>4,026.9</b> | <b>2,914.2</b>   | <b>2,576.6</b> | <b>2,817.8</b>   | <b>2,655.0</b>   |
| A11                                                                  | Taxes                                         | 20,727.9         | 23,955.7         | 115.6%        | 1,899.6        | 1,888.3          | 1,656.9          | 1,646.3        | 2,103.7        | 2,462.3        | 1,789.8          | 2,533.3        | 2,152.0          | 1,731.3        | 2,100.7          | 1,991.7          |
| A111                                                                 | Taxes on income, profits, and capital gains   | -                | -                | 0.0%          | -              | -                | -                | -              | -              | -              | -                | -              | -                | -              | -                | -                |
| A112                                                                 | Taxes on payroll & workforce                  | -                | -                | 0.0%          | -              | -                | -                | -              | -              | -              | -                | -              | -                | -              | -                | -                |
| A113                                                                 | Taxes on property                             | 583.3            | 487.6            | 83.6%         | 26.3           | 28.0             | 0.1              | 25.7           | 42.2           | 58.9           | 53.0             | 31.3           | 53.3             | 51.8           | 35.3             | 81.9             |
| A114                                                                 | Taxes on goods & services                     | 15,964.4         | 18,677.1         | 117.0%        | 1,558.6        | 1,471.2          | 1,306.4          | 1,301.6        | 1,676.3        | 1,894.3        | 1,352.9          | 1,990.5        | 1,589.5          | 1,374.9        | 1,705.7          | 1,455.2          |
| TTVA                                                                 | Value-added taxes                             | 10,414.2         | 11,684.6         | 112.2%        | 910.3          | 835.9            | 728.2            | 838.8          | 1,133.2        | 1,338.2        | 904.8            | 1,270.4        | 1,046.5          | 885.6          | 1,055.7          | 737.1            |
| A1142                                                                | Excises                                       | 2,811.2          | 4,136.3          | 147.1%        | 249.0          | 314.8            | 425.4            | 242.9          | 348.3          | 312.0          | 261.3            | 449.6          | 357.4            | 327.1          | 352.4            | 496.0            |
| A115                                                                 | Taxes on international trade & transactions   | 4,180.2          | 4,791.0          | 114.6%        | 314.6          | 389.1            | 350.5            | 319.0          | 385.1          | 509.1          | 383.9            | 511.5          | 509.2            | 304.6          | 359.7            | 454.7            |
| A116                                                                 | Other taxes                                   | -                | -                | 0.0%          | -              | -                | -                | -              | -              | -              | -                | -              | -                | -              | -                | -                |
| A12                                                                  | Social contributions                          | -                | -                | 0.0%          | -              | -                | -                | -              | -              | -              | -                | -              | -                | -              | -                | -                |
| A13                                                                  | Grants                                        | 2,787.4          | 2,550.8          | 91.5%         | -              | -                | 1,127.9          | 117.4          | -              | 1,022.8        | -                | 182.4          | -                | -              | 1.8              | 98.4             |
| A14                                                                  | Other revenue                                 | 13,168.1         | 11,081.0         | 84.2%         | 1,270.5        | 723.4            | 693.2            | 937.1          | 1,274.3        | 1,080.6        | 903.1            | 1,311.2        | 762.2            | 845.3          | 715.3            | 564.8            |
| <b>A2</b>                                                            | <b>Expense</b>                                | <b>37,185.3</b>  | <b>36,059.7</b>  | <b>97.0%</b>  | <b>2,003.3</b> | <b>1,632.6</b>   | <b>4,205.4</b>   | <b>2,449.7</b> | <b>2,437.1</b> | <b>3,231.2</b> | <b>3,832.4</b>   | <b>2,790.0</b> | <b>3,255.2</b>   | <b>2,730.5</b> | <b>3,682.5</b>   | <b>3,809.8</b>   |
| A21                                                                  | Compensation of employees                     | 18,718.7         | 17,265.3         | 92.2%         | 990.3          | 1,157.7          | 1,936.9          | 1,307.6        | 1,250.3        | 1,288.1        | 1,381.8          | 1,280.1        | 2,013.2          | 1,217.6        | 1,378.6          | 2,063.0          |
| A22                                                                  | Use of goods and services                     | 10,427.4         | 9,473.0          | 90.8%         | 790.3          | (235.7)          | 1,081.7          | 478.9          | 762.1          | 835.5          | 895.7            | 815.1          | 655.5            | 654.1          | 1,462.9          | 1,276.9          |
| A23                                                                  | Consumption of fixed capital                  | -                | -                | 0.0%          | -              | -                | -                | -              | -              | -              | -                | -              | -                | -              | -                | -                |
| A24                                                                  | Interest                                      | 1,323.7          | 1,114.2          | 84.2%         | 27.4           | -                | 141.6            | 165.8          | 13.1           | 37.4           | 81.3             | 105.0          | 353.4            | 92.6           | 72.0             | 24.6             |
| A25                                                                  | Subsidies                                     | 362.7            | 108.7            | 30.0%         | (4.1)          | -                | 7.1              | 26.4           | -              | 15.2           | -                | 12.4           | 7.1              | 23.3           | 5.5              | 15.8             |
| A26                                                                  | Grants                                        | 4,052.4          | 5,096.8          | 125.8%        | 190.4          | 574.7            | 848.7            | 265.1          | 90.3           | 654.5          | 1,231.6          | 244.1          | 61.6             | 381.6          | 235.4            | 318.8            |
| A27                                                                  | Social benefits                               | 639.5            | 1,144.9          | 179.0%        | 50.5           | 47.9             | 34.4             | 63.3           | 98.2           | 125.4          | 76.0             | 113.9          | 47.7             | 111.2          | 266.5            | 109.9            |
| A28                                                                  | Other expense                                 | 1,661.0          | 1,856.8          | 111.8%        | (41.5)         | 88.1             | 155.1            | 142.5          | 223.2          | 275.0          | 165.9            | 219.3          | 116.8            | 250.0          | 261.5            | 0.9              |
| <b>GOB</b>                                                           | <b>Gross operating balance (1-2+23+NOBz)</b>  | <b>(501.8)</b>   | <b>1,527.8</b>   |               | <b>1,166.7</b> | <b>979.1</b>     | <b>(727.4)</b>   | <b>251.0</b>   | <b>940.9</b>   | <b>1,334.6</b> | <b>(1,139.5)</b> | <b>1,236.8</b> | <b>(341.1)</b>   | <b>(153.9)</b> | <b>(864.7)</b>   | <b>(1,154.9)</b> |
| <b>NOB</b>                                                           | <b>Net operating balance (1-2+NOBz)</b>       | <b>(501.8)</b>   | <b>1,527.8</b>   |               | <b>1,166.7</b> | <b>979.1</b>     | <b>(727.4)</b>   | <b>251.0</b>   | <b>940.9</b>   | <b>1,334.6</b> | <b>(1,139.5)</b> | <b>1,236.8</b> | <b>(341.1)</b>   | <b>(153.9)</b> | <b>(864.7)</b>   | <b>(1,154.9)</b> |
|                                                                      | % of GDP                                      | -0.4%            | 1.3%             |               | 1.0%           | 0.8%             | -0.6%            | 0.2%           | 0.8%           | 1.1%           | -0.9%            | 1.0%           | -0.3%            | -0.1%          | -0.7%            | -0.9%            |
| <b>TRANSACTIONS IN NONFINANCIAL ASSETS:</b>                          |                                               |                  |                  |               |                |                  |                  |                |                |                |                  |                |                  |                |                  |                  |
| <b>A31</b>                                                           | <b>Net Acquisition of Nonfinancial Assets</b> | <b>4,602.8</b>   | <b>3,604.6</b>   | <b>78.3%</b>  | <b>1,164.8</b> | <b>(1,026.9)</b> | <b>633.8</b>     | <b>158.6</b>   | <b>147.9</b>   | <b>344.8</b>   | <b>49.8</b>      | <b>47.8</b>    | <b>212.0</b>     | <b>108.2</b>   | <b>175.3</b>     | <b>1,588.6</b>   |
| A311                                                                 | Fixed assets                                  | 4,602.8          | 3,604.6          | 78.3%         | 1,164.8        | (1,026.9)        | 633.8            | 158.6          | 147.9          | 344.8          | 49.8             | 47.8           | 212.0            | 108.2          | 175.3            | 1,588.6          |
| A312                                                                 | Change in inventories                         | -                | -                | 0.0%          | -              | -                | -                | -              | -              | -              | -                | -              | -                | -              | -                | -                |
| A313                                                                 | Valuables                                     | -                | -                | 0.0%          | -              | -                | -                | -              | -              | -              | -                | -              | -                | -              | -                | -                |
| A314                                                                 | Nonproduced assets                            | -                | -                | 0.0%          | -              | -                | -                | -              | -              | -              | -                | -              | -                | -              | -                | -                |
| <b>NLB</b>                                                           | <b>Net lending / borrowing (1-2+NOBz-31)</b>  | <b>(5,104.6)</b> | <b>(2,076.9)</b> |               | <b>1.9</b>     | <b>2,006.1</b>   | <b>(1,361.2)</b> | <b>92.4</b>    | <b>792.9</b>   | <b>989.8</b>   | <b>(1,189.2)</b> | <b>1,189.0</b> | <b>(553.0)</b>   | <b>(262.1)</b> | <b>(1,040.1)</b> | <b>(2,743.4)</b> |
| <b>TRANSACTIONS IN FINANCIAL ASSETS AND LIABILITIES (FINANCING):</b> |                                               |                  |                  |               |                |                  |                  |                |                |                |                  |                |                  |                |                  |                  |
|                                                                      |                                               | -4.2%            | -1.7%            |               | 0.0%           | 1.6%             | -1.1%            | 0.1%           | 0.7%           | 0.8%           | -1.0%            | 1.0%           | -0.5%            | -0.2%          | -0.9%            | -2.2%            |
| <b>A32</b>                                                           | <b>Net acquisition of financial assets</b>    | <b>(5,604.4)</b> | <b>(2,325.2)</b> | <b>0.0%</b>   | <b>(13.8)</b>  | <b>2,006.1</b>   | <b>(1,991.5)</b> | <b>78.5</b>    | <b>1,734.9</b> | <b>893.1</b>   | <b>(1,189.2)</b> | <b>389.0</b>   | <b>(1,473.1)</b> | <b>215.7</b>   | <b>(133.1)</b>   | <b>(2,841.9)</b> |
| A321                                                                 | Domestic                                      | (5,604.4)        | (2,325.2)        | 0.0%          | (13.8)         | 2,006.1          | (1,991.5)        | 78.5           | 1,734.9        | 893.1          | (1,189.2)        | 389.0          | (1,473.1)        | 215.7          | (133.1)          | (2,841.9)        |
| A322                                                                 | Foreign                                       | -                | -                | 0.0%          | -              | -                | -                | -              | -              | -              | -                | -              | -                | -              | -                | -                |
| <b>A33</b>                                                           | <b>Net incurrence of liabilities</b>          | <b>(499.9)</b>   | <b>(248.3)</b>   | <b>49.7%</b>  | <b>(15.7)</b>  | <b>-</b>         | <b>(630.3)</b>   | <b>(13.9)</b>  | <b>942.0</b>   | <b>(96.7)</b>  | <b>-</b>         | <b>(800.0)</b> | <b>(920.0)</b>   | <b>477.8</b>   | <b>906.9</b>     | <b>(98.5)</b>    |
| A331                                                                 | Domestic creditors                            | 3,551.9          | 2,186.6          |               | (8.1)          | -                | -                | -              | 1,012.5        | -              | -                | (800.0)        | 511.4            | 488.6          | 982.2            | -                |
| A332                                                                 | External creditors                            | (4,051.8)        | (2,434.9)        | 60.1%         | (7.5)          | -                | (630.3)          | (13.9)         | (70.5)         | (96.7)         | -                | -              | (1,431.4)        | (10.8)         | (75.3)           | (98.5)           |